

10.3 SYNTHETIC PUT STRATEGY

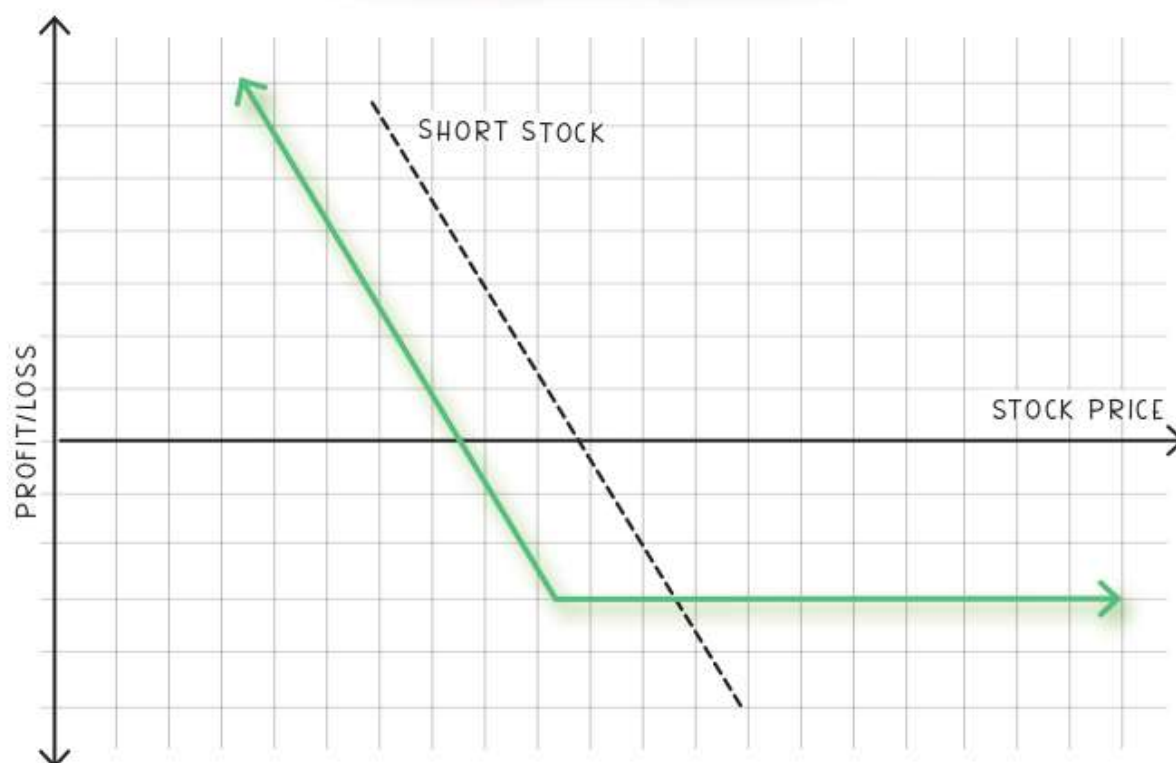


Explainer Video

“

SYNTHETIC PUT STRATEGY IS A RISK MANAGEMENT STRATEGY THAT USES CALL OPTION TO INSURE SHORT POSITION IN ANY STOCK OR INDEX.

”



This strategy is exactly the opposite of Protective Put or Synthetic Call that we were discussing in the previous part. The name Synthetic Put again comes from the fact that this strategy also resembles a Simple Put option in terms of risk and reward potential.

The purpose of a synthetic put strategy is similar to a synthetic call strategy. The only difference is that here we are protecting ourselves from upside movement because we are short on the asset. Therefore, we are buying a call option in this strategy.